+254 711-047-000
www.aib-axysafrica.com
research@aib-axysafrica.com

AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- The equities market closed higher in the US during a shortened trading week, as markets remained closed on Friday in observance of Independence Day. Despite the recovery, concerns over lofty valuations and substantial capital expenditure among major tech companies remained (free cash flows among the Magnificent Seven have declined significantly). Leaders in the AI memory sub-sector experienced sell-offs on the last trading day of the week, with shares of Micron, Advanced Micro Devices, and Applied Materials declining by 5.5%, 4.3%, and 7.4%, respectively. The sell-off coincided with last week's announcement by Meta that it will begin building its own AI computing infrastructure, alongside an antitrust lawsuit alleging that key memory and storage companies have been inflating product prices.
- Investors will be turning their attention to the US Q2 earnings season, which kicks off next week. Earnings resilience should provide a tailwind for the market. Investors will be closely monitoring returns on investment from major AI infrastructure spenders, as well as management guidance for the remainder of the year. Should earnings exceed expectations, market sentiment could receive a further boost.
- Data from the US Department of Labor showed that nonfarm payroll employment increased by 57,000 in June, below the consensus estimate of 110,000. Additionally, the unemployment rate eased to 4.2%, keeping the "low-hire, low-fire" trend intact. May and April payroll figures were also revised downward by a combined 74,000 jobs. Employment gains were recorded in professional and business services, social assistance, and healthcare, while the leisure and hospitality sector reported job losses. The latest labour market data reduced expectations of an imminent rate hike by the Federal Reserve.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,483	7,354	▲ 1.8%
DAX	25,779	24,671	▲ 4.5%
Nikkei 225	69,744	69,361	▲ 0.6%
Hang Seng	23,350	22,672	▲ 3.0%
FTSE 100 (FTSE)	10,679	10,508	▲ 1.6%
Dow Jones	52,900	51,876	▲ 2.0%
Median			**▲ 1.9%**

Source: Investing.com AIB AXYS Research

- Global equity markets closed in the green, posting a median return of 1.9% compared to a decline of 1.6% recorded the previous week. In the US, the S&P 500 and the Dow edged up by 1.8% and 2.0% w/w, respectively. The S&P 500 was supported by gains in the financials, communication services, and consumer discretionary sectors. The Nasdaq advanced by 0.7%, recouping some of the losses recorded in the previous week, although the index closed lower on Thursday as investors questioned AI optimism and the large capital expenditure being deployed across the AI ecosystem.
- Across Europe, the FTSE 100 gained 1.6% w/w, marking another consecutive week of gains. On the other hand, the DAX rose 4.5% w/w, supported by improved market optimism and reduced expectations of further tightening. The market was lifted by solid gains in the banking and utility sectors.
- In Asia, the Hang Seng climbed 4.5% w/w, recovering some of the losses recorded in the previous week. Additionally, the Nikkei 225 rose by 0.6% w/w.

• Fixed Income:

Bond	Current	Previous	w/w chang
US 10 Yr Bond	4.49%	4.37%	▲ 11.8bps
UK 10 Yr Gilt	4.79%	4.74%	▲ 4.8bps
Germany 10 Yr Bund	2.94%	2.85%	▲ 9.2bps
Japan 10 Year Bond	2.78%	2.60%	▲ 17.5bps

- Bond yields rose across major markets. In the US, yields on the 10-year note rose by 11.8 bps to settle at 4.49% on Thursday. The market scaled back expectations of rate hikes following the lower-than-expected June jobs report. At the ECB Forum, the Fed Chair noted that inflation expectations have eased in recent weeks, implying slower progress toward rate hikes. Warsh also reiterated his commitment to restoring price stability.
- Across Europe, yields on the UK 10-year Gilt rose by 4.8 bps to 4.79%. At the ECB Forum, Bank of England Governor Bailey noted that the BoE is not in a rush to hike rates. Meanwhile, Germany's 10-year Bund yield rose to 2.94%, tracking the broader market movement. Lagarde noted that following the recent rate hike and the ceasefire in the US-Iran conflict, inflation and growth have become more balanced in the Euro Area.
- In Asia, yields on the Japanese 10-year note rose by 17.5 bps to 2.78%. The market continues to scrutinize the government's fiscal policy and spending plans.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.6841	0.6899	▼ (84bps)
USD/JPY	161.380	161.760	▼ (23bps)
GBP/USD	1.335	1.320	▲ 113bps
EUR/USD	1.144	1.138	▲ 47bps
US Dollar Index	101.62	101.13	▲ 48bps

Source: Investing.com AIB AXYS Research

- The US dollar closed both the week and the month on a strong footing. The US Dollar Index (DXY) remained above the 100 mark, gaining 48 bps during the week to close at 101.62 against a basket of major currencies. However, on Thursday, the dollar came under pressure following weaker-than-expected labour market data, with the DXY easing by 0.5% as markets pared back expectations of further rate hikes.
- Meanwhile, the Japanese yen appreciated by 23 bps over the week, with the USD/JPY pair closing at 161.38. Despite the weekly gain, the yen touched its weakest level in four decades during the week, with the USD/JPY pair reaching 162.57. The sharp depreciation fuelled speculation of potential intervention by Japanese authorities; however, reports indicated that policymakers may scale back intervention efforts. Additionally, the yen found support from the softer-than-expected US jobs data, which weighed on the dollar and helped reverse some of the currency's losses.

CONTACTS

Research Desk
Email: research@aib-axysafrica.com

Offshore Products & Global Markets
Email: invest@aib-axysafrica.com

Equities Dealing
Email: trading@aib-axysafrica.com

Bond Dealing
Email: trading@aib-axysafrica.com

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